

interest rates, the differing assumptions will lead to relatively minor differences in ladder costs.

In this particular Monte Carlo simulation, a total-returns investment portfolio that uses annual rebalancing to maintain a fixed 60.8 percent stock and 39.2 percent bond allocation would have supported spending until year thirty of retirement. With an automatic rolling ladder, wealth depletes in year twenty-seven. Because the growth portfolio experiences early losses, the automatic replenishing of the bond ladder each year pushes the stock allocation downward over time. In year seventeen, the last remaining assets in the growth portfolio are transitioned to the bond ladder. At this point, the bond ladder can support nine more years of full income along with a portion of the tenth year's income. Assets are fully depleted in year twenty-seven. In this simulation, early stock losses raised the necessary distribution rate to support rebalancing, creating too much pressure on the growth portfolio. Time segmentation did not support a better outcome.

Exhibit 7.14

One Simulation for an Automatic 10-Year Rolling Ladder

To Support an Initial \$40,000 Spending Goal with a 2% COLA